Sales for the first quarter of $305.4 million compared to $309.0 million for 2003, while earnings from operations before restructuring costs in 2003 increased 37% to $19.4 million from $14.2 million last year. All earnings from operations comparisons exclude $7.4 million in restructuring costs in the first quarter of 2003, as management believes this is the most appropriate basis on which to evaluate operating results, as restructuring costs are not representative of ongoing operating earnings. During the quarter, wheat prices increased significantly from the same period last year, resulting in higher flour prices; however, price increases implemented in late 2003 and in the first quarter of 2004 mostly offset these and other rising input costs.

Net earnings for the first quarter before restructuring costs increased 54% to $12.5 million or $0.49 per share, compared to $8.1 million or $0.34 per share last year (after restructuring costs, 2003 net earnings were $3.3 million or $0.14 per share).

Interest expense for the first quarter decreased to $1.4 million from $2.6 million last year, due to lower interest rates and lower debt levels. The effective tax rate for the first quarter was 31% compared to 23% last year. The tax rate differential is primarily the result of a change in mix of earnings in foreign jurisdictions.

Cash flow from operating activities for the first quarter increased to $28.4 million compared to a use of cash of $3.4 million last year. The significant improvement is due to higher earnings for the current quarter and reduced working capital balances of $18.4 million compared to last year, primarily from an increase in the Company's accounts receivable securitization program.

FRESH BAKERY
(fresh bakery products; specialty fresh pasta and sauces)

Fresh Bakery sales for the first quarter decreased 1% to $210.6 million compared to $212.5 million last year.

Earnings from operations before restructuring costs in 2003 increased 4% to $9.9 million compared to $9.5 million last year. Fresh Bakery earnings were positively impacted by improved product mix and margins in most regions. This performance was somewhat offset by challenges in Atlantic Canada bakeries resulting from the consolidation of production and distribution operations in 2003. Progress was made during the first quarter to address these issues and management expects improving results over the course of the year. In January, *Bon Matin Healthy Way* organic breads were launched in Quebec, which together with the existing Bon Matin line has doubled the size of the organic bread category in Quebec.

The recent trend in North America towards lower carbohydrate diets did not have a material impact on the Company's operations in the first quarter, however, the Company is beginning to see a softening in the commercial white bread market in the second quarter, which management believes is related to reduced carbohydrate diets. The Company is well positioned to face this trend due to its strong market position in whole grain and other healthy bread products, as demand for these products tends to increase in nutritionally sensitive markets. For example, the Canadian market in the whole grains segment increased 7% in the quarter compared to a decline of 1% in the overall commercial bread category. The Company launched lower carbohydrate

alternative products in late 2003, and volume sales growth of *Dempster's Carb Wise* and *Healthy Way Carb Conscious* breads was very strong throughout the first quarter of 2004.

Frozen Bakery
(frozen bakery products; including frozen par-baked and specialty bakery products)

Frozen Bakery sales for the first quarter decreased 2% to $94.8 million compared to $96.4 million last year, due to the impact of the stronger Canadian dollar on U.S. dollar-denominated sales. After adjusting for this exchange rate effect, sales for the first quarter increased by 7% compared to last year.

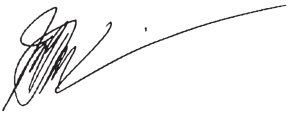
Earnings from operations increased 103% to $9.5 million from $4.7 million last year. Frozen Bakery earnings were positively impacted by strong food service sales that more than offset the adverse sales impact of work stoppages at several U.S. retail customers. Improved product mix, higher volumes and price increases have also helped to offset rising input costs. The U.K. Bakery operations achieved significant sales and earnings growth. Commissioning of a new facility in Cumbria, England will expand production capacity to meet increasing demand for specialty bakery products. The Company will be adding significant incremental bagel capacity in its U.K. operations. The £10.4 million expansion is expected to be fully operational in the first quarter of 2005.

The Company declared a dividend of $0.06 per share payable on July 2, 2004 to shareholders of record on June 11, 2004.

For the Board of Directors,



Richard A. Lan
President and Chief Executive Officer



Michael H. McCain
Chairman

April 28, 2004